

NATURE AND LOCATION

The most striking features of the laws governing savings-bank investments is the complete exclusion of bonds in certain broad categories. The New York provisions relative to permitted and prohibited classes may be summarized as follows (subject to a 1938 amendment soon to be discussed):

Admitted	Excluded
United States government, state and municipal bonds.	Foreign government and foreign corporation bonds.
Railroad bonds and electric, gas and telephone mortgage bonds.	Street railway and water bonds.
Bonds secured by first mortgages on real estate.	Debentures of public utilities.
	All industrial bonds.
	Bonds of financial companies (investment trusts, credit concerns, etc.).

The Fallacy of Blanket Prohibitions. The legislature was evidently of the view that bonds belonging to the excluded categories are essentially too unstable to be suited to savings-bank investment. If this view is entirely sound, it would follow from our previous reasoning that all issues in these groups are unsuited to conservative investment generally. Such a conclusion would involve revolutionary changes in the field of finance, since a large part of the capital now regularly raised in the investment market would have to be sought on an admittedly speculative basis.

In our opinion, a considerable narrowing of the investment category is in fact demanded by the unsatisfactory experience of bond investors over a fairly long period. Nevertheless, there are strong objections to the application of blanket prohibitions of the kind now under discussion. Investment theory should be chary of easy generalizations. Even if full recognition is given, for example, to the unstable tendencies of industrial bonds, as discussed in Chap. 7, the elimination of this entire major group from investment consideration would seem neither practicable nor desirable. The existence of a fair number of industrial issues (even though a small percentage of the total) which have maintained an undoubted investment status through the severest tests, would preclude investors generally from adopting so drastic a policy. Moreover, the confining of investment demand to a few eligible types of enterprise is likely to make